

Superior Court of the State of California
County of Orange
TENTATIVE RULINGS FOR DEPARTMENT N16
HON. Donald F. Gaffney

Counsel and Parties Please Note:
Law and Motion in Department N16 is heard
on Wednesdays at 9:00 a.m.

Date: September 13, 2023

Tentative Rulings will be posted on the Internet on the day before the hearing by 5:00 p.m. [or earlier] whenever possible. To submit on the tentative ruling, please contact the clerk at (657) 622-5616, after contacting opposing party/counsel. Prevailing party shall give notice of the Ruling and prepare the Order/Judgment for the Court's signature if required.

NOTE: After posting of tentative rulings, the Court will not take the motion off calendar and will grant a continuance of the motion only upon stipulation of all affected parties.

If no appearances are made on the calendared motion date, then oral argument will be deemed to have been waived and the tentative ruling will become the Court's final ruling.

#	Case Name	Tentative
1	Carson v. Uber Technologies, Inc.	TENTATIVE RULING: <u>Petition to Compel Arbitration.</u> Defendant Uber Technologies, Inc. (Uber) moves to compel arbitration. For the following reasons, the petition is GRANTED. Defendant Uber Technologies, Inc. provides evidence that Plaintiff registered for an Uber Rider account on April 11, 2015. (Gaddis Dec., ¶ 7 and Ex. A.) The Terms of Use in effect at that time were from April 8, 2015, and contained an arbitration agreement. (Id. at ¶ 9 and Ex. B.) Uber notified Plaintiff on November 16, 2016, that the terms were updated, and the updated terms also contained an arbitration provision. (Id., ¶¶ 8-10, Exs. C, D, and E.) Plaintiff was also presented with an in-app blocking pop-up screen on multiple occasions from 2021 through 2023 notifying Plaintiff that the terms were updated and providing links to the terms of use, which contained arbitration provisions. (Id., ¶¶ 11-13, Ex. G.) The pop-up screen expressly stated that by checking the box, Plaintiff reviewed and agreed to the terms of use. Plaintiff expressly consented to the updated terms in 2021-2023. (Id. at ¶ 14, Ex. A.) Each of the updated terms contained an arbitration provision. The original arbitration agreement stated in relevant part:

	You agree that any dispute, claim or controversy arising out of or relating to these Terms or the breach, termination, enforcement, interpretation or validity thereof or the use of the Services (collectively, “Disputes”) will be settled by binding arbitration between you and Uber, except that each party retains the right to bring an individual action in small claims court and the right to seek injunctive or other equitable relief in a court of competent jurisdiction to prevent the actual or threatened infringement, misappropriation or violation of a party’s copyrights, trademarks, trade secrets, patents or other intellectual property rights. You acknowledge and agree that you and Uber are each waiving the right to a trial by jury or to participate as a plaintiff or class in any purported class action or representative proceeding. ... The arbitration will be administered by the American Arbitration Association (“AAA”) in accordance with the Commercial Arbitration Rules and the Supplementary Procedures for Consumer Related Disputes (the “AAA Rules”) then in effect, except as modified by this “Dispute Resolution” section.... The Federal Arbitration Act will govern the interpretation and enforcement of this Section. (Gaddis Dec., Ex. B.) Each of the successive terms contained a substantially similar arbitration agreement. (Gaddis Dec., Ex. E and G.) The Federal Arbitration Act (“FAA”), which includes both procedural and substantive provisions, governs the dispute at issue. Plaintiff contends that the FAA does not apply because this case does not involve interstate commerce. But the terms with which Plaintiff agreed expressly state that the FAA apply. The FAA applies to contracts that involve interstate commerce (9 U.S.C. §§ 1, 2), but because arbitration is a matter of contract, the FAA also applies if it is so stated in the agreement. (<i>Victrola 89, LLC v. Jaman Properties 8 LLC</i> (2020) 46 Cal.App.5th 337, 355.) The terms of use at issue in this case expressly state that the FAA shall apply. The FAA states that written arbitration agreements “shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.” (9 U.S.C. § 2.) The Supreme Court has described this provision as reflecting both a “liberal federal policy favoring arbitration,” and the
--	---

“fundamental principle that arbitration is a matter of contract.” (*AT & T Mobility LLC v. Concepcion* (2011) 563 U.S. 333.) The FAA permits agreements to arbitrate to be invalidated by “generally applicable contract defenses, such as fraud, duress, or unconscionability.” (*Id.*) When deciding whether a valid arbitration agreement exists, courts generally apply “ordinary state-law principles that govern the formation of contracts.” (*First Options of Chicago, Inc. v. Kaplan* (1995) 514 U.S. 938, 944.)

On a motion to compel arbitration, the court’s role is limited to deciding: “(1) whether there is an agreement to arbitrate between the parties; and (2) whether the agreement covers the dispute.” (*Brennan v. Opus Bank* (9th Cir. 2015) 796 F.3d 1125, 1130.) If these conditions are satisfied, the court is without discretion to deny the motion and must compel arbitration. (9 U.S.C. § 4; *Dean Witter Reynolds, Inc. v. Byrd* (1985) 470 U.S. 213, 218 [“By its terms, the [FAA] leaves no place for the exercise of discretion by a district court, but instead mandates that district courts shall direct the parties to proceed to arbitration.”].) “[T]he party resisting arbitration bears the burden of proving that the claims at issue are unsuitable for arbitration.” (*Green Tree Fin. Corp. v. Randolph* (2000) 531 U.S. 79, 91.)

Plaintiff contends the arbitration agreement is unconscionable. If the party opposing the petition to compel arbitration raises a defense to enforcement (CCP § 1281.2), that party bears the burden of producing *evidence* of, and proving by a preponderance of the evidence, any fact necessary to the defense. (*See Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413.) An agreement must be both procedurally and substantively unconscionable to permit the court to refuse to enforce the agreement or a given clause as unconscionable. (*See, Stirlen v. Supercuts, Inc.* (1997) 51 Cal.App.4th 1519, 1533.)

Plaintiff contends the Arbitration Agreement is procedurally unconscionable because it is a clickwrap agreement and a contract of adhesion.

Procedural unconscionability concerns the manner in which the contract was negotiated and the parties’ circumstances at that time. It focuses on the factors of oppression or surprise. (*Kinney v. United HealthCare Services, Inc.* (1999) 70 Cal.App.4th 1322, 1329.) Absent no other indication of oppression or surprise, the degree of procedural unconscionability of an adhesion agreement—including nonnegotiated employment contracts—is

low. (*Ajamian v. CantorCO2e, LP* (2012) 203 Cal.App.4th 771 796.)

Recently, in *Sellers, supra*, 73 Cal.App.5th 444, the Court of Appeal thoroughly discussed the legal landscape regarding the various methods by which contracts are commonly formed online. “ ‘A “clickwrap” agreement is one in which an internet user accepts a website’s terms of use by clicking an “I agree” or “I accept” button, with a link to the agreement readily available.’ “ (*Id.* at 463.) By clicking on “I agree” in a clickwrap agreement, the user is confirming his or her assent to the agreement’s terms. As a result, clickwrap agreements are generally considered enforceable. (*Id.* at 470.)

Here, the Agreement is a contract that was offered on a take-it-or-leave-it basis, which, in itself, “is sufficient to establish some degree of procedural unconscionability.” (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 915, 190 Cal.Rptr.3d 812.) Thus, Plaintiff has shown a small level of procedural unconscionability.

Substantive unconscionability examines the fairness of a contract’s terms to ensure that a contract of adhesion does not impose terms that are overly harsh, unduly oppressive, or unfairly one-sided. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126–127.) The court focuses on terms that unreasonably favor the more powerful party, impair the integrity of the bargaining process, contravene public interest or policy, or attempt to impermissibly alter fundamental legal duties. This includes unreasonable or harsh terms or ones that undermine the nondrafting party’s reasonable expectations. (*Id.* at p. 130, 251 Cal.Rptr.3d 714, 447 P.3d 680.) Where there is substantial procedural unconscionability, “even a relatively low degree of substantive unconscionability may suffice to render the agreement unenforceable.” (*Ibid.*) This is particularly true if an employer used “deceptive or coercive” tactics. (*Id.* at pp. 125–126, 251 Cal.Rptr.3d 714, 447 P.3d 680.)

Plaintiff does not provide any evidence or argument that the agreement is substantively unconscionable. Thus, Plaintiff does not provide a sufficient basis for the Court to find that the Arbitration Agreement is unconscionable.

Plaintiff relies extensively on Code Civ. Proc. § 1281.2(c) to urge the Court to deny the petition in light of the presence of an additional defendant, John Doe. That Section provides that the Court shall order arbitration unless it determines that: